But bringing in spouses is not risk free. Spouses do not necessarily share the family's culture or its goals. And in today's world, divorce is common. You wouldn't want to bring a spouse into the inner sanctum of your family wealth, only to have him or her leave on bitter terms 12 months later.

Think 100 years into the future. You will be long gone. And your family office will be made up of people you don't know. You want your Family Council and its system of governance to last for a long time. That means it will need to function with the participation of a diverse group of people, not just the group currently involved. Including spouses can help make your family office's governance process more robust. It can bring more capable people into the Family Council. And it can help reveal—and perhaps resolve—problems arising within your family's marriages, at least insofar as they are connected to the family money.

But what if your son or daughter married a gold digger? (Not likely. But you have to think of all the possibilities.) What if one married someone who was either uninterested in or opposed to the family's goals? What can you do?

You'd want to keep a close eye on a potentially troublesome spouse. It may be better to engage this person in the controlled environment of the Family Council, rather than leave them on the outside. A Family Council meeting is a great place to gauge whether the person is trouble—or not. You can't pretend this person won't be a major influence over his or her spouse, and therefore your brother or sister, son or daughter. It's better to confront these issues head-on. After all, it's these unspoken conflicts—many involving spouses—that cause so many families to fail.

THE FAMILY COUNCIL'S ROLE IN TRUSTS

As part of our family endowment model, we recommend you put in place a special kind of trust: a perpetual trust, also called a "dynasty trust." We discussed trusts in the previous chapter. A perpetual trust, as the name indicates, holds assets on behalf of beneficiaries in perpetuity. In our version of it, trust beneficiaries must be engaged in "productive behavior"